

nections. Without concrete data, the allegations seem speculative at best.

Sebi operates through a structured decision-making process that involves multiple officials, including Whole-Time Members and other senior staff. No significant regulatory decision is taken by the Chairperson alone. This layered process ensures checks and balances. Therefore, even if the allegations were to hold some weight, Sebi's institutional structure would prevent any misuse of power.

UNSHAKEN MARKET CONFIDENCE

Market participants have largely dismissed the allegations as unsubstantiated. India's capital markets have continued to function smoothly, with no apparent impact on investor sentiment or confidence in Sebi's regulatory oversight. Sebi's preamble emphasises its role in protecting investors and fostering a well-regulated securities market, and under Buch's leadership, the regulator has consistently adhered to these principles.

Madhabi Puri Buch has been a proactive regulator, warning investors against excessive speculation in overheated markets. Her consistent messaging and actions have helped maintain a transparent and trustworthy capital markets environment. The ongoing support from industry leaders further underscores the confidence placed in her ability to lead Sebi effectively, even in the face of these allegations.

REGULATORY TRANSPARENCY

A recurring criticism has been the lack of public disclosure of Buch's personal financial holdings. Some have argued that such information should be made available to the public to ensure transparency and to eliminate any potential conflicts of interest. However, it is important to note that there is currently no legal requirement for regulatory officials to disclose their personal financial

information publicly.

In fact, financial institutions and regulatory bodies typically require executives and senior officials to disclose their holdings internally to compliance departments. This is true not only for Sebi but also for other regulatory bodies like the Reserve Bank of India, the Insurance Regulatory and Development Authority of India, and the Competition Commission of India. Internal disclosures ensure that compliance teams can monitor potential conflicts of interest without necessitating public exposure of personal financial details.

Raising suspicions about an individual's integrity without substantive proof does more than fuel baseless controversies. Demanding Buch's personal shareholdings be made public, overlooks the estab-

lished practices within financial regulation, where officials are required to comply with internal disclosure policies.

by ensuring that officials have no involvement in the management of their assets. If Indian regulators were required to place their holdings in blind trusts, it would provide an additional layer of protection against allegations. It would also enhance transparency and trust in the regulatory system, without the need for officials to disclose their personal holdings.

LEARNINGS

The allegations against Buch, though lacking in substance, present a valuable opportunity for India to reevaluate how it safeguards its regulatory officials. While Sebi's integrity remains intact, this episode highlights the vulnerability of public figures. Introducing mechanisms like blind trusts for senior officials would not only help prevent future controver-

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ished practices within financial regulation, where officials are required to comply with internal disclosure policies.

TOWARDS BLIND TRUSTS

This episode raises an important question: How can regulators be protected? One potential solution is the establishment of blind trusts.

A blind trust separates the official from direct management of their financial assets. In this arrangement, a third-party trustee oversees the assets without providing periodic reports or disclosing information to the official. This ensures that the official is unaware of the specifics of their portfolio and has no influence over investment decisions during their tenure in office.

Blind trusts help eliminate the possibility of conflicts of interest

sies but also bring Indian regulations in line with global best practices.

In conclusion, the claims of a conflict of interest against Sebi Chairperson Madhabi Puri Buch appear to be speculative and unsubstantiated. Sebi's functioning has not been affected, and market participants continue to express confidence in Buch's leadership. However, this situation offers important lessons for India's regulatory framework. Establishing stronger mechanisms, such as blind trusts, would help insulate regulators from similar allegations in the future and further solidify the trust that underpins the country's financial markets.

The author is Founder & MD, InGovern Research Services, a corporate governance advisory firm. Views are personal